1. Export

Export means the receipts against export of merchandise goods to other countries. The export receipts of services are not included here.

2. Import

Import refers to the payment for import of merchandise goods from other countries. The payments for import of services are not included here.

3. Trade Balance

The balance of trade is the difference between export receipts and import payments.

Trade balance = Export – Import

If the trade balance is positive it is called favourable balance of trade and if it is negative it is called unfavourable balance of trade.

4. Invisibles (net)[3]

The head of invisibles record the receipts and payments with respect to the following items.

A. Services
B. Transfer and
C. Income

A. Services

Export and import of services is accounted under this head. Services include travel, transportation, insurance, Government Not Included Elsewhere (GNIE) and miscellaneous services, which encompass communication services, construction services, financial services,